

disruptive in terms of economic activity as well as a loss of human lives. Almost all the sectors have been adversely affected as domestic demand and exports sharply plummeted with some notable exceptions where high growth was observed. Tourism, Hospitality and Aviation were among the worst affected sectors. Consumption also got impacted due to job losses and decline in income levels of people particularly the daily wage earners. Greater uncertainty about the future course and repercussion of Covid-19 also made the financial market extremely volatile. There is likelihood that the three major components of aggregate demand — consumption, investment, and exports are likely to stay subdued for a prolonged period of time. On the supply side, shutdown of factories and the resulting delay in supply of goods from China affected many Indian manufacturing sectors. Some sectors like automobiles, pharmaceuticals, electronics, chemical products etc. faced an imminent raw material and component shortage.

Check Your Progress 1

- 1) What do you understand by ‘Hindu Rate of Growth’?

.....

.....

.....

.....

.....

- 2) What are the reasons for the slowdown of the Indian economy after the year 2008 i.e., post-global financial crisis?

.....

.....

.....

.....

.....

.....

.....

- 3) How do you see the impact of the post-2014 policy measures on the Indian economy?

.....

.....

.....

.....

.....

.....

2.3 STRUCTURAL CHANGE IN THE ECONOMY

The process of development requires structural change. The structural change of an economy takes place mainly along two dimensions: one is the changing sector-wise shares in GDP and the second is the changing share of the labour force, engaged in each sector. Other forms of changes encompassing the structural change include changing share of the organised and unorganised sectors as well as rural and urban sectors in output and employment, and also the share of consumption, government spending, investment and net exports in India's GDP. The share of public and private sectors may also be considered to reflect structural change in the Indian economy.

2.3.1 Composition of Gross Domestic Product

The composition of GDP of an economy explains the relative significance of the different producing sectors. When a country is in a state of underdevelopment, primary sector (agriculture and allied occupations) makes the largest contribution to the national income. As the country grows and gets developed, no matter how fast the primary sector grows, in keeping with the Kuznet's Law the contribution of the industrial and services sectors gradually increases. The explanation for this shift is as follows: Income elasticity of demand for agricultural products is relatively low; as a result, with rising levels of income, the demand for agricultural products relatively declines and that for industrial goods increases and, after reaching a reasonably high level of income, demand for services increases sharply. Accordingly, the shares of different sectors in the national product get determined by the changes in the pattern of demand. On the supply side, agriculture, being mainly dependent on a fixed factor of production, namely land, faces a limit on its growth and is subject to early operation of the law of diminishing returns. Industry, specially manufacturing, on the other hand, offers large scope for use of capital and technology, which could be augmented almost without limit with human effort. The same applies to services where application of technologies seems to offer much larger scope. Table 2.1 below brings out the on-going structural changes in India's GDP.

Table 2.1: Sectoral Distribution of India's GDP at Factor Cost (2011-12 prices) (%)

Sector	1960-61	1990-91	2000-01	2010-11
Primary	51.0	33.0	25.0	17.0
Secondary	18.0	24.0	24.0	24.5
Tertiary (Service)	31.0	43.0	51.0	58.5

Source: Economic Survey (Various issues)

Services sector is the largest sector of India. Gross Value Added (GVA) at current prices for Services sector is estimated at Rs. 92.26 lakh crore (54.40 per cent of total India's GVA) in 2018-19. With GVA of Rs. 50.43 lakh crore, Industry sector contributes 29.73 per cent, while, agriculture and allied sector shares 15.87 per cent.

This pattern of structural change in Indian economy has deviated from the development pattern of Western and South East Asian economies. Those economies experienced first a shift from primary to secondary sector and only in their advanced stage did they experience a significant shift in favour of tertiary sector. This pattern of development enabled them to transfer growing labour

force from primary to secondary sector. In India this has not been possible because secondary sector has not expanded fast enough to absorb growing labour force. Although the manufacturing sector has grown at a fast pace the section's contribution less as compared to countries. The unskilled and uneducated rural masses have continued to struggle in the primary sector and those who have been forced out by economic, social and political factors have joined the urban slum sector. Moreover, the sharp increase in the share of tertiary sector in GDP in India has occurred at a much lower level of per capita income than that in the developed countries when they experienced a similar expansion. This pattern of growth underlines the link between the growing poverty and unemployment and the inadequate growth of manufacturing and building activity in the country. This failure in turn could be attributed to absence of structural attributes like a basic literacy in the workforce upon which further skills can be imparted, physical infrastructure (*i.e.*, power, roads, railways and access to ports), access to financial capital and, crucially, policies that encourage allocation of resources through export-oriented manufacturing.

2.3.2 Sectoral Share of Employment

There have been significant changes in the sectoral pattern of employment. The proportion of the work force engaged in the primary sector declined by 12 per cent between 1983 and 2004-05 and it showed faster decline between 2004-05 and 2009-10. Between 2009-10 and 2017-18, the share of employment in primary sector further declined to 44.6 per cent. In the Secondary sector, the share of employment increased from 21 per cent in 2009-10 to 24.4 per cent in 2017-18. However, the Tertiary sector has performed very well in employment as its share jumped from 25 per cent (2009-10) to 31.0 per cent (2017-18). This marks an important phase of structural transformation for the Indian economy, in which, the share and number of workers in agriculture has been declining with corresponding rise in employment in non-farm sectors. Among the non-firm sectors, service sector is primarily driving the employment growth during 2009-10 and 2017-18.

Table 2.2: Changes in Sectoral Shares of Employment (UPSS) (Percentages)

		Primary	Secondary	Tertiary	All
Rural	1983	81.80	8.60	9.50	100.00
	2004-05	73.00	13.20	13.80	100.00
	2009-10	68.60	16.70	14.70	100.00
Urban	1983	15.60	32.60	51.80	100.00
	2004-05	9.40	33.30	57.30	100.00
	2009-10	8.10	33.80	58.10	100.00
Total	1983	68.90	13.30	17.80	100.00
	2004-05	57.00	18.20	24.80	100.00
	2009-10	53.80	20.90	25.39	100.00
	2017-18	44.6	24.4	31.0	100.00

2.3.3 Share of Organised and Unorganised Sector in Output and Employment

Another way to look at the structural change in the income is to look at the organisational pattern of the economy. The NAS divides the economy into two sectors: organised sector which is identified with a modern market economy and